

Chapter 1: Money

1. Introduction

Money is one of the most important institutions of a modern economy. Almost every economic activity—production, consumption, exchange, saving, investment, borrowing and lending—is carried out with the help of money. It removes the difficulties associated with the barter system and provides a common basis for measuring and exchanging goods and services.

In simple terms, money is a generally accepted medium through which goods and services are bought and sold and financial obligations are settled. Money is also considered the most liquid form of asset because it can be used immediately to make payments. Currency issued by the government or central bank is legal tender, while commercial banks create credit money through lending activities.

2. Meaning of Money

Money refers to anything that is commonly and generally accepted by people:

- As a medium of exchange;
- As a measure of value;
- For making payments;
- For settling debts;
- As a store of purchasing power; and
- As a standard for future payments.

Therefore, money should not be understood merely as currency notes and coins. In a modern economy, bank deposits and certain other highly liquid financial assets may also perform monetary functions.

Essential elements of money

A. General acceptability

An item can serve as money only when people are willing to accept it in exchange for goods and services. General acceptability is therefore the basic quality of money.

B. Medium of exchange

Money acts as an intermediary between buyers and sellers. A person can sell goods or services for money and then use that money to purchase other goods and services.

C. Measure of value

The value of different goods and services is expressed in monetary units. For example, the prices of a book, a car and a house can all be stated in rupees, making their values easier to compare.

D. Liquidity

Money is the most liquid asset because it can be used directly and immediately for making payments without first being converted into another asset.

E. Legal recognition

Currency notes and coins issued under the authority of the government are legal tender. People are legally required to accept them for the settlement of payments and debts.

3. Definitions of Money

Economists have defined money from different perspectives. These definitions may be classified into functional definitions, definitions based on general acceptability and legal definitions.

3.1 Functional or descriptive definitions

Functional definitions explain money in terms of the functions that it performs.

According to Crowther:

“Money is anything that is commonly used and generally accepted as a means of exchange and at the same time acts as a measure and store of value.”

3.2 Definitions based on general acceptability

According to this approach, the most important feature of money is that it is widely accepted by society.

According to Robertson:

“Money is anything which is widely acceptable in discharge of obligation.”

This definition emphasizes the use of money in settling debts and other financial obligations.

Seligman

“Money is one thing that possesses general acceptability.”

3.3 Legal definition of money

The legal approach defines money as anything declared by the state to be money.

According to Knapp: “Anything which is declared money by the state becomes money.”

4. Approaches to the Definition of Money

Economists differ over which assets should be included in the concept of money. Some approaches include only currency and immediately withdrawable bank deposits, while other approaches include a wider range of financial assets.

4.1 Traditional approach

The traditional approach defines money according to its basic functions, particularly its use as a medium of exchange.

Under this approach, money includes:

- Currency held by the public; and
- Demand deposits with commercial banks.

Demand deposits are included because they can be withdrawn on demand and used directly through cheques, cards or electronic transfers.

Formula

Money = Currency + Demand deposits

4.2 Chicago approach

The Chicago approach is associated particularly with Milton Friedman and other economists of the University of Chicago.

It extends the traditional definition by including:

- Currency;
- Demand deposits;
- Fixed or time deposits; and
- Savings bank deposits.

Formula

Money = Currency + Demand deposits + Fixed deposits + Savings bank deposits

The Chicago approach argues that savings and fixed deposits should be included because they represent purchasing power and can be converted into money, even though they may not be directly used in every transaction.

4.3 Gurley and Shaw approach

The Gurley and Shaw approach provides an even broader definition of money.

In addition to the assets included under the Chicago approach, it includes:

- Savings deposits with non-banking financial institutions;
- Shares;
- Debentures; and
- Bonds.

Money = Currency + Demand deposits + Fixed deposits + Savings bank deposits + Deposits with non-banking financial institutions + Shares + Debentures + Bonds

4.4 Central Bank or Radcliffe Committee approach

The Radcliffe Committee defined money in terms of spendability and liquidity. According to this approach, what matters for economic activity is not merely the amount of currency and bank deposits but the entire structure of liquid assets available to the public.

Liquidity means the ability of an asset to be converted into spendable form quickly and without significant loss.

This approach includes:

- Cash;
- Demand deposits;
- Savings and time deposits;
- Deposits with other financial institutions;
- Near-money assets; and
- Borrowing facilities.

Assets that are not money in the narrow sense but can be converted into money relatively easily are called near-money.

4.5 Reserve Bank of India approach

The Reserve Bank of India treats money supply as both:

1. An economic variable; and
2. A policy-controlled variable.

As an economic variable, money supply is influenced by the behaviour of the public and banks regarding the form in which they hold their assets.

As a policy variable, it is influenced by the decisions of the central bank and monetary authorities.

The RBI approach classifies the money supply into different measures, traditionally represented as M1, M2, M3 and M4. These measures move from relatively narrow and highly liquid forms of money to broader and less liquid forms.

A. Old Monetary Aggregates

M1 — Narrow Money

$$M_1 = C + DD + OD$$

$$M_1 = \text{Currency with the Public} + \text{Demand Deposits with Banks} + \text{Other Deposits with RBI}$$

M2

$$M_2 = M_1 + POSD$$

$$M_2 = M_1 + \text{Savings Deposits with Post-Office Savings Banks}$$

M3 — Broad Money

$$M_3 = M_1 + TD$$

$$M_3 = M_1 + \text{Time Deposits with the Banking System}$$

M4

$$M_4 = M_3 + POD$$

$$M_4 = M_3 + \text{All Deposits with Post-Office Savings Banks — National Savings Certificates}$$

B. New Monetary Aggregates

NM1 — Narrow Money

$$NM_1 = C + DD + OD$$

$$NM_1 = \text{Currency with the Public} + \text{Demand Deposits with Banks} + \text{Other Deposits with RBI}$$

NM2 — Intermediate Money

$$NM_2 = NM_1 + STTD$$

$$NM_2 = NM_1 + \begin{aligned} &+ \text{Time-Liability Portion of Savings Deposits} \\ &+ \text{Certificates of Deposit Issued by Banks} \\ &+ \text{Term Deposits Maturing Up to One Year} \end{aligned}$$

NM3 — Broad Money

$$NM_3 = NM_2 + LTDD + CTF$$

$$NM_3 = NM_2 + \begin{aligned} &+ \text{Term Deposits Maturing After One Year} \\ &+ \text{Call or Term Funding from Financial Institutions} \end{aligned}$$

Liquidity Order

Old Measures

$$M_1 > M_2 > M_3 > M_4$$

New Measures

$$NM_1 > NM_2 > NM_3$$

Coverage Order

Old Measures

$$M_4 > M_3 > M_2 > M_1$$

New Measures

$$NM_3 > NM_2 > NM_1$$

Classification of Money

Actual Money: Actual money is the money that physically circulates in an economy and is directly used for buying goods and services or paying debts. It includes coins and currency notes. For example, ₹10 coins, ₹100 notes and ₹500 notes are actual money.

Money of Account: Money of account is the monetary unit in which prices, incomes, debts and financial records are expressed. It may not always refer to physical money. For example, prices and accounts in India are expressed in rupees, while those in the United States are expressed in dollars.

Legal Tender Money: Legal tender money is money that must be accepted by law in payment of debts. A creditor cannot legally refuse it. Currency notes and coins issued by the government or central bank are examples of legal tender money.

Optional Money: Optional money is money that a person may accept or refuse because it is not compulsory legal tender. Its acceptance depends on trust and mutual agreement. Cheques, bank drafts, bills of exchange and promissory notes are common examples.

Commodity Money: Commodity money is money that has value both as money and as a useful commodity. It possesses intrinsic value. In earlier times, cattle, salt, grain, tobacco, gold and silver were used as commodity money.

Metallic Money: Metallic money is made from metals such as gold, silver, copper, nickel or aluminium. Its value may be equal to or different from the value of the metal used. Gold coins, silver coins and modern copper-nickel coins are examples.

Metallic Standard: A metallic standard is a monetary system in which the value of the currency is linked to a fixed quantity of a metal, usually gold or silver. Under the gold standard, currency could be converted into a specified amount of gold.

Standard Money: Standard money is the main monetary unit of a country and is generally accepted without any limit in the settlement of debts. Its face value is officially fixed by the government. Gold sovereigns used under the gold standard are an example.

Token Money: Token money has a face value greater than the value of the material from which it is made. It is accepted because the government guarantees its value. Modern ₹1, ₹2, ₹5 and ₹10 coins are examples of token money.

Subsidiary Money: Subsidiary money consists of small-denomination coins used mainly for minor payments and giving change. It is usually limited legal tender and has a low intrinsic value. Small coins such as ₹1, ₹2 and ₹5 coins are examples.

Representative Money: Representative money has little intrinsic value but represents a claim over something valuable, such as gold or silver, kept in reserve. It can be exchanged for the commodity it represents. Gold certificates and silver certificates are examples.

Representative Paper Money: Representative paper money is paper currency issued against an equal amount of gold or silver held by the issuing authority. The holder can exchange the paper notes for the metal represented by them. Gold-backed currency notes used in earlier monetary systems are examples.

Convertible Paper Money: Convertible paper money can be exchanged on demand for gold, silver or standard coins at a fixed rate. Its issue is supported by metallic reserves. Paper currency used under the gold standard is an example.

Inconvertible Paper Money: Inconvertible paper money cannot be exchanged for gold or silver. It circulates because it is declared legal tender and is accepted by the public. Most modern currency notes are examples of inconvertible paper money.

Modern Paper Money: Modern paper money is currency issued by the government or central bank and accepted as legal tender. It is generally inconvertible and based on public confidence rather than metallic reserves. Notes such as ₹100, ₹200 and ₹500 are examples of modern paper money.

Representative Money: Representative money is money that has little or no intrinsic value of its own but represents a fixed quantity of a valuable commodity, usually gold or silver, kept in reserve by the issuing authority. The holder has a legal right to exchange it for the commodity that it represents. It is generally issued only when an equal amount of metallic reserve is maintained. Therefore, representative money is usually fully backed and redeemable. For example, a gold certificate representing one gram of gold is representative money because the certificate can be exchanged for that amount of gold.

Convertible Paper Money: Convertible paper money is paper currency that can be converted into gold, silver or standard metallic coins on demand at a fixed rate. Its main feature is convertibility rather than complete backing. The issuing authority may maintain either a full reserve or only a part of the total currency value in metallic form. Thus, all representative paper money is normally convertible, but all convertible paper money may not be fully representative money. Currency notes issued under the historical gold standard are examples of convertible paper money.

Inconvertible Paper Money: Inconvertible paper money is currency that cannot be exchanged for gold, silver or any other precious metal. The holder can use it for purchasing goods, making payments and settling debts, but cannot demand metallic money from the issuing authority. Its value depends mainly on government authority, public confidence, scarcity and its general acceptance in the economy. Most present-day currency notes, such as Indian rupee notes and United States dollar notes, are inconvertible paper money.

Fiat Money: Fiat money is money that is issued under the authority of the government or central bank and is declared legal tender by law. It has no significant intrinsic value and is generally not backed by an equivalent amount of gold or silver. People accept fiat money because the government recognises it for the payment of debts and taxes and because they have confidence that others will also accept it. Modern currency notes and many coins are examples of fiat money backed by government bonds.

